ABC News (federal politics live, 4 Nov 2026)
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Albanese wants backpacker rules in the UK free trade deal changed to help cut migration

> Prime Minister Anthony Albanese said the working holiday arrangements in the Australia–UK Free Trade Agreement (A-UKFTA) should change, so that fewer people arrive under them and net overseas migration falls. The current rules let British backpackers stay for up to three years without doing specified work.

WHAT HAPPENED

- Under the A-UKFTA, British backpackers can stay for **up to three years** without completing the specified work (such as regional farm work) that other working holiday makers must do to extend their visas.
- Albanese said these rules should change to help **reduce net overseas migration**.
- He described UK Prime Minister **Andy Burnham** as "very constructive" in their discussions.
- The comments came the day after the RBA's rate hike, amid debate over what is driving demand and price pressures, including population growth adding to demand for housing and services.
- Any change would need to be negotiated with the UK, because the rules are part of a **bilateral trade agreement**.

3 years
Maximum stay for British backpackers without specified work

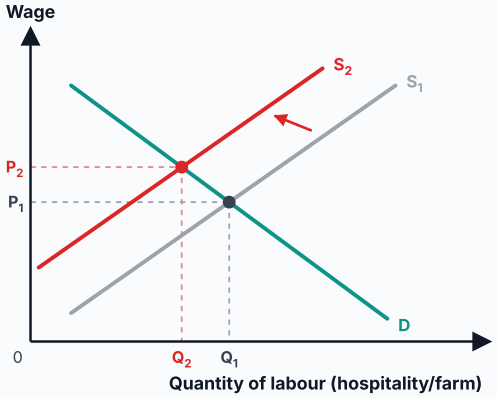
A-UKFTA
Bilateral trade agreement between Australia and the UK

NOM
The government's target: lower net overseas migration

Free trade agreement (FTA): a deal that lowers barriers to trade in goods and services between countries, and can also cover the movement of people.
Net overseas migration (NOM): arrivals minus departures of people staying 12 months or more.

DIAGRAM

If fewer backpackers arrive: the labour market for hospitality and farm work



Working holiday makers are an important source of labour in hospitality, tourism and agriculture.

If tighter rules mean fewer arrivals, labour supply in these industries shifts from S_1 to S_2. Wages rise from P_1 to P_2 and employment falls from Q_1 to Q_2, which may mean higher costs for employers and higher prices for consumers.

Exam angle: migration affects **both** sides of the economy. It adds to aggregate demand (housing, consumption) and to aggregate supply (labour). Cutting it may ease demand pressure but worsen labour shortages.

COMPARE

Winners and losers from tighter backpacker rules

Possible benefits

- **Housing and rents:** less demand pressure from population growth.
- **Aggregate demand:** slower growth in spending, helping the RBA fight inflation.
- **Policy:** a lever the government controls directly.

Possible costs

- **Farms, tourism and hospitality:** labour shortages and higher wage costs.
- **Consumers:** higher prices if firms pass on costs.
- **Trade relations:** renegotiating an FTA has diplomatic costs.

Syllabus link: Topic 2 – Australia's place in the global economy: bilateral trade agreements and Australia's trade policy, including the movement of labour. Also Topic 3 (labour market) and Topic 4 (policies affecting the labour market and aggregate demand).

Try this
Assess the economic costs and benefits of including labour-mobility provisions, such as working holiday visas, in a free trade agreement. **(6 marks)**

Sources: abc.net.au/news/2026-11-04/federal-politics-live-blog-angus-taylor-rates/107342840

Diagrams are illustrative, not to scale